
STRUCTURAL INTEGRITY RESERVE STUDY REPORT



SUBMITTED TO,

Pablo Jose Valdes Florida Irrevocable Trust (PJV-IT)
C/O Lucy Suero & Niurka Esquivel
12484 NW S River Drive,
Medley, FL 33178

PREPARED BY,



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MAY 11, 2023

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1. INTRODUCTION

A **Reserve Study** of any type is prepared to estimate the amount of money which should be put aside for future repairs and replacements to the Association's physical plant. The study is a tool for evaluating and establishing a stable level of reserve funding. **Reserve funding** is a means of fairly distributing the costs of future repairs and replacements among all owners. In addition, the reserve funding is an indicator of the financial strength of the Association, which can affect the value of the units.

The goal of a **Structural Integrity Reserve Study ("SIRS")** is to calculate required reserve funds for items whose failure to replace or maintain such item negatively affects the structural integrity of said items pursuant to Section 718.112(2)(g). This SIRS was prepared utilizing formula described in the said statute, which is based upon estimated remaining useful life and estimated replacement cost or deferred maintenance expense of the reserve item.

The goal of a **Capital Reserve Study ("CRS")** is to calculate adequate reserve funds for capital expenditures and deferred maintenance for items pursuant to Section 718.112(2)(f)(2a) of Florida Statutes.

Capital Reserve Items are common elements that are quantifiable, have a reasonably predictable useful life, and have a significant replacement cost. Capital Reserve Items fall into three categories:

- Operating/Maintenance Budget
 - Insignificant Cost less than \$10,000
 - Typical Useful Life less than 2 years.
- Structural Integrity Reserve Budget As per Section 112(2)(g)(1)
 - a. Roof
 - b. Load-bearing walls / primary structural members
 - c. Floor
 - d. Foundation
 - e. Fireproofing and fire protection systems
 - f. Plumbing
 - g. Electrical systems
 - h. Waterproofing and exterior painting
 - i. Windows
 - j. Any other item that has a deferred maintenance expense or replacement cost that exceeds \$10,000 and the failure to replace or maintain such item negatively affects the items listed above
- Capital Reserve Budget
 - Common elements with a Typical Useful Life greater than 2 years
 - Common elements not affecting the structural integrity or safety of the building.

Pursuant to Florida Statute Section 718.103 (25), a **Structural Integrity Reserve Study ("SIRS")** means a study of the reserve funds required for future major repairs and replacement of the common areas based on a visual inspection of the common areas. A structural integrity reserve study may be performed by any person qualified to perform such a study. However, the visual inspection portion of the structural integrity reserve study must be performed by an engineer licensed under chapter 471 or an architect licensed under chapter 481. At a minimum, a structural integrity reserve study must identify the common areas being visually inspected, state the estimated remaining useful life and the estimated replacement cost or deferred maintenance expense of the common areas being visually inspected, and provide a recommended annual reserve amount that achieves the estimated replacement cost or deferred maintenance expense of each common area being visually inspected by the end of the estimated remaining useful life of each common area.

The costs of common elements that require repair or replacement more often than every two (2) years should be included in the Association's **Operating Budget**. Items with an insignificant cost would be those that could be funded in the operating budget without any adverse financial impact.

For the purpose of this Structural Integrity Reserve Study, M2E Consulting Engineers performed a visual inspection of the building and related elements. The inspection was performed pursuant to generally accepted standards of practice. The accompanying estimates and Expected Useful Life (EUL) information were based on standard industry sources, and professional judgment. In order to assign a useful life to a particular item, it is assumed that the item will be constructed or installed properly in accordance with the manufacturer's specifications or applicable standards. It is also based on the assumption that an adequate maintenance schedule has been implemented and followed by the Developer, and subsequently the Association.

The study is only intended to provide an approximate estimate based on the current standard industry sources such as RS Means Cost-Works data. For a more precise estimate it is recommended to obtain a bid from a licensed general contractor. Since accurate and detailed control over market conditions, usage, rate of deterioration, maintenance, or weather conditions is not feasible, the actual costs and useful life expectancy will vary from the estimates presented. M2E Consulting Engineers cannot and does not represent or guarantee that the actual costs or useful life expectancy will not vary from those presented in the budgets provided.

2. PROJECT DESCRIPTION

2.1 – GENERAL INFORMATION

Project Name:	Pablo Jose Valdes Florida Irrevocable Trust (PJV -IT)
Address:	10950 NW 82 St.
City:	Doral
State, Zip:	Florida, 33178
Category:	Multi-family Residential (Condominium)
Date of Study:	May 11 th , 2023
Contact:	Lucy Suero & Niorka Esquivel
Title:	Trustee
Office Phone:	(786) 877-7078

2.2 – PHYSICAL INFORMATION

Number of Buildings	: 1
Number of Building Floor Levels	: 4
Number of Units	: 80

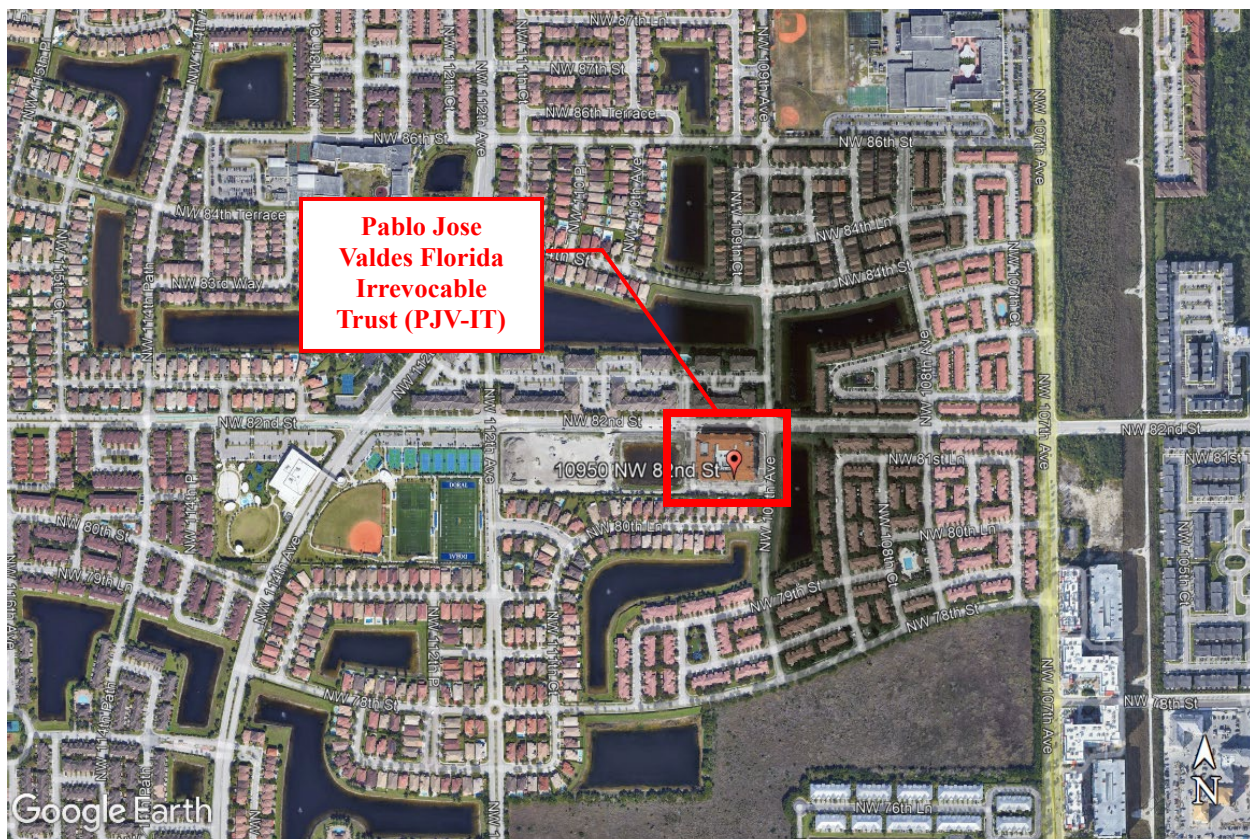


Figure 1: Location Map of Pablo Jose Valdes Florida Irrevocable Trust (PJV-IT) – Doral, FL
(Source: Google Earth)

3. RESERVE COMPONENTS

The following components have been included in our analysis:

ROOFING

Replacement of the Roof - The life expectancy of a building's TPO roof is 20 years under normal operating conditions (assuming proper design, installation, and maintenance). Based on the current condition and estimated useful life of the roofing systems, replacement of the roof has been scheduled for fiscal year 2042 for TPO roof.

STRUCTURE

Structural System - The structure was completed in 2022 and consists of a concrete framing system with masonry shear walls, columns, reinforced concrete slabs, and CMU walls.

A. *Required Maintenance:* The building's structural Systems and Components shall be inspected and maintained in accordance with all applicable referenced codes and standards listed below, but not limited to them.

- American Concrete Institute ACI 318
- Florida Building Code

The visible concrete elements of the building should be observed annually, and repairs should be performed immediately, as required. All repairs shall be performed and directed by a competent person licensed in their profession in the state of Florida. Given the legal structure of the condominium, the elements addressed in this section are specifically related to the areas pertaining to the condo association.

B. *Useful Life:* The total estimated useful life of the structure is 80 years. The condition of the structure is consistent with that of a one (1) year old structure, and its expected remaining useful life is 79 years.

FIRE PROTECTION SYSTEM

Fire Pump, Jockey Pump, Flow Switch, and Valves - The building's fire suppression system consists of a main fire pump with a capacity of 30 horsepower, and a jockey pump with a capacity of 3 horsepower; flow switches; and valves for water distribution. Industry standards suggest a useful life of 20 years for fire pumps. This suggests that the building's fire pumps should require major modernization and/or replacement at or near the 2042 fiscal year. The current lump sum replacement cost is based on cost-estimating indexes and actual fire pump replacement costs in similar buildings.

Fire Backflow Preventer - Outside of the building, there is the backflow preventer that is used to prevent pressurized water from the sprinkler system from flowing back into the municipal water supply, which could contaminate the drinking water and pose a health hazard. Industry standards suggest a useful life of 40 years for backflow preventers. This suggests that the backflow preventer will need major modernization or replacement around the 2062 fiscal year, and the current lump sum replacement cost has been estimated based on industry standards and actual replacement costs in similar buildings.

Fire Sprinkler Distribution Piping System and Sprinkler Heads - The building has four (4) 6" fire suppression standpipes and four (4) 2-1/2" drain risers installed in the stairwells of the building to provide access for firefighters to connect their hoses during a fire event. Additionally, the building has: two (2) 2" fire suppression risers that serve the trash chute and the fire department connections/shut-off valves with tamper switch; fire piping branches; sprinkler heads; and automatic valves that conform to the fire sprinkler distribution system. Industry standards suggest a useful life of 40 years for the sprinkler system components – sprinkler heads and valves. This suggests the building's sprinkler system should require major modernization and/or replacement at or near the 2062 fiscal year. The current lump sum replacement cost is based on cost-estimating indexes and actual sprinkler system replacement costs in similar buildings.

FIRE ALARM SYSTEMS

Fire Alarm System - The fire alarm system is intended to detect a fire-related occurrence, alert the control panel and proper authorities (AHJ), and notify the occupants to take immediate action in case of an emergency (e.g., Fire). The estimated useful life of this equipment is 15 years, suggesting replacement at or near the 2037 fiscal year. The current replacement cost is based on the size of the building, fire alarm system layout, and cost-estimating indexes for replacement in similar buildings.

PLUMBING SYSTEMS

Domestic Water Booster Pumps - The building has one (1) duplex domestic water booster package system that provides the required water flow and pressure to the building's residential units and common areas plumbing fixtures. The system is rated for a total capacity of 300 gpm at a system pressure of 75 psi on piping, fittings, and valves. Industry standards suggest a useful life of 15 years. Therefore, based on the installation dates, they should require major modernization or replacement at or near the 2037 fiscal year. The current lump sum replacement cost is based on cost-estimating indexes and actual replacement costs in similar buildings.

Domestic Water Distribution System - The domestic cold water piping system, along with the booster pumps and the associated piping/fittings, shut-off valves, and PRV, provides cold water service to the plumbing fixtures throughout the building apartment units and common areas. Electric water heaters are used to provide hot water in the building, and each apartment unit has its own water heater, rather than a central system serving the entire building. Industry standards suggest a useful life of 30 years for the typical domestic water piping system. This suggests the domestic water piping system should require major modernization and/or replacement at or near the 2052 fiscal year. The current linear foot replacement cost is based on cost estimating indexes and actual domestic water piping system replacement costs in similar buildings.

Condensate Drainage System - The condensate drainage system collects the condensate drainage of the air conditioning equipment throughout the building's apartment AC units and common areas. Industry standards suggest a useful life of 30 years for the typical condensate drainage piping system. This suggests that the condensate drainage system should require major modernization and/or replacement at or near the 2052 fiscal year. The current linear foot replacement cost is based on cost estimating indexes and actual condensate and sanitary drainage system replacement costs in similar buildings.

Sewer and Storm System - A complete sanitary and storm drainage system serves the building's apartment units. Industry standards suggest a useful life of 50 years for the typical storm drainage piping system. This suggests that the sanitary drainage and storm drainage piping system should require major modernization and/or replacement at or near the 2072 fiscal year. The current linear foot replacement cost is based on cost estimating indexes and actual sanitary drainage and storm drainage piping system replacement costs in similar buildings.

Elevator Sump Pumps - The building has sump pumps installed in each elevator shaft remove any water that may accumulate at the bottom of the shaft. The sump pump is responsible for pumping this water out of the shaft and into a drainage system, thus preventing damage to the elevator system and ensuring its safety. Industry standards suggest a useful life of 15 years. Therefore, based on the installation dates, they should require major modernization or replacement at or near the 2037 fiscal year. The current lump sum replacement cost is based on cost-estimating indexes and actual replacement costs in similar buildings.

ELECTRICAL SYSTEMS

Circuit Breakers and Disconnect Switches— The circuit breakers are the Over-Current Protection Devices, intended to protect the circuit conductors against overload. Circuit breakers also serve as the disconnecting means for the circuits being fed. The estimated useful life of this equipment is 40 years, suggesting replacement at or near the 2062 fiscal year. The current replacement cost is based on the equipment's rating and cost-estimating indexes for replacement in similar buildings.

Panels and Switchboards— The panels distribute incoming normal and emergency power throughout the building. The estimated useful life of this equipment is 40 years, suggesting replacement at or near the 2062 fiscal year. The current replacement cost is based on the equipment's rating and cost-estimating indexes for replacement in similar buildings.

Emergency Generator– The emergency generator (150KW, 120/208V, 3PH) provides emergency power to the building’s life safety components. The estimated useful life of this equipment is 25 years, suggesting replacement at or near the 2047 fiscal year. The current replacement cost is based on the equipment’s rating and cost-estimating indexes for replacement in similar buildings.

Automatic Transfer Switch – The Automatic Transfer Switch (ATS) provides a means to switch from normal to emergency power in the event of power failure. The estimated useful life of this equipment is 30 years, suggesting replacement at or near the 2052 fiscal year. The current replacement cost is based on the size of the unit and cost estimating indexes for replacement in similar buildings.

Meter Centers – Meter Centers are modular power metering systems widely used in residential and commercial buildings. The system is mainly comprised of meter sockets, a main disconnect, individual disconnects, and various cabling components. The meter’s stacks feed the electrical panels of the residential units and provide a point of metering for the Electrical Utility Company. The estimated useful life of this equipment is 40 years, suggesting replacement at or near the 2062 fiscal year. The current replacement cost is based on the size of the units and cost-estimating indexes for replacement in similar buildings.

Lighting –A lighting system consists of luminaires and associated equipment (e.g. power supplies, control means, etc.). This system includes emergency and normal lighting for all common areas. The estimated useful life of this equipment is 10 years, suggesting replacement at or near the 2032 fiscal year. The current replacement cost is based on the equipment’s type and rating, and cost estimating indexes for replacement in similar buildings.

Low Voltage Systems –Low voltage systems are comprised of electrical equipment that uses 50 volts (V) of electricity or less. These systems include access control, CCTV surveillance, radio enhancement systems (e.g. BDA), and other building communications services. The estimated useful life of this equipment is 15 years, suggesting replacement at or near the 2037 fiscal year. The current replacement cost is based on the equipment’s type and rating, and cost estimating indexes for replacement in similar buildings.

PAINTING AND WATERPROOFING

Paint Building Exteriors, and Caulk Window Frames - Industry standards and paint manufacturers suggest a useful life of five to ten years for a properly applied and maintained exterior building paint. Based on a 2022 painting of the building (stucco only) and a recommended 7-years scheduling of future painting projects (can vary depending on coating), we have scheduled repainting of the exterior surfaces for the fiscal year 2029.

The current repainting cost is based on the writer’s experience with painting costs in standard buildings. These costs include the following:

- Surface preparation
- As needed caulking and sealing

- Minor stucco and concrete repairs
- Repainting/refinishing of all stucco surfaces
- Repainting/refinishing fire sprinkler piping, & other miscellaneous metal surfaces
- Repainting/refinishing door and window frames and railings

is based on the writer's experience with painting costs in standard high-rise apartment buildings.

Waterproofing: The building's waterproofing components vary according to the location and surrounding systems/building elements. Industry standards and paint manufacturers suggest a useful life of similar waterproofing systems is as follows:

- Thirty (30) years for Balconies
- Fifteen (15) years for the Pool Deck
- Ten (10) years for the Pool

4. STRUCTURAL INTEGRITY RESERVE STUDY ANALYSIS

STRUCTURAL INTEGRITY RESERVE STUDY ANALYSIS

An association must have a structural integrity reserve study completed at least every 10 years after the condominium's creation for each building on the condominium property that is three stories or higher in height which includes, at a minimum, a study of the following items as related to the structural integrity and safety of the building:

- a. Roof.
- b. Load-bearing walls or other primary structural members.
- c. Floor.
- d. Foundation.
- e. Fireproofing and fire protection systems.
- f. Plumbing.
- g. Electrical systems.
- h. Waterproofing and exterior painting.
- i. Windows.
- j. Any other item that has a deferred maintenance expense or replacement cost that exceeds \$10,000 and the failure to replace or maintain such item negatively affects the items listed in sub-subparagraphs a.-i., as determined by the licensed engineer or architect performing the visual inspection portion of the structural integrity reserve study.

Associations existing on or before July 1, 2022, which are controlled by unit owners other than the developer, must have a structural integrity reserve study completed by December 31, 2024, for each building on the condominium property that is three stories or higher in height.

If an association fails to complete a structural integrity reserve study pursuant to this paragraph, such failure is a breach of an officer's and director's fiduciary relationship to the unit owners under s. 718.111(1).

RESERVE FUNDING ANALYSIS

There are two generally accepted means of estimating reserves; the *Component Funding Analysis* and the *Cash Flow Analysis*. The *Component Funding Analysis* calculates the annual contribution amount for each individual line item component by dividing the component's unfunded balance by its remaining useful life. A component's unfunded balance is its replacement cost minus the reserve balance in the component at the beginning of the analysis period. The annual contribution rate for each individual line item component is then summed to calculate the total annual contribution rate for this analysis.

The *Cash Flow Analysis* is a method of calculating reserve in which contributions to the reserve funds are designed to offset the variable annual expenditures from the reserve fund. This analysis calculates the future replacement cost for reserve components when they are due for replacement, and recognizes increases in construction costs, as well as interest income attributed to reserve accounts. Funds from the beginning balances are pooled together and a yearly contribution rate is calculated to arrive at a positive cash flow and reserve account balance to adequately fund the future projected expenditures throughout the period of the analysis. This method is only allowable for **Capital Reserve Studies**.

Unlike the *Component Funding Analysis*, the *Cash Flow Analysis* does not require 100% funding of components to meet projected future expenditures. The rate of return on funds invested is also factored into the *Cash Flow Analysis*. These two factors result in a contribution rate that is normally less than that developed by the *Component Funding Analysis*. Although the *Cash Flow Analysis* may fund reserves at less than 100% during all or portions of the analysis period, a positive cash flow throughout the period of the analysis ensures that each reserve component will have sufficient funds available for expenditures when they are due.

For a **Capital Reserve Study**, prior to December 23, 2002, Florida Statutes mandated that condominiums, cooperatives, and timeshare condominiums calculate reserves by using the *Component Funding Method*, on an annual basis. Funding at less than 100% of the fully funded estimate, based on the *Component Funding Method*, could occur only after a full vote of the association membership. As of December 23, 2002, amendments to the Florida Administrative Code recognize the Cash Flow Method as an approved methodology for the calculation of reserve funding. Condominiums, cooperatives, and timeshare condominiums can now employ the *Cash Flow Method*. If associations wish to change to the *Cash Flow Method*, reserve funds must be pooled into a single fund via a full vote of the association membership. The fund requirement estimated by the *Cash Flow Method* can now be provided to the membership, on an annual basis as a fully funded figure, in lieu of the previously mandated Component Funding Method analysis. The analysis must be completed on an annual basis and include the total estimated useful lives, estimated remaining useful lives, and estimated replacement cost/deferred maintenance expenses of all assets in the reserve budget (minimum roofing, painting, paving and any other item with a replacement/repair cost over \$10,000), and the estimated fund balance of the pooled reserve account as of the beginning of the period for which the budget will be in effect. If the association maintains a pooled account for reserves, the amount of the contribution to the pooled reserve account, as disclosed on the proposed budget, shall be not less than that required to ensure that the balance on hand at the beginning of the period, for which

the budget will go into effect, plus the projected annual cash inflows over the remaining estimated useful lives of all of the assets that make up the reserve pool are equal to or greater than the projected annual cash outflows over the remaining estimated useful lives of all of the assets that make up the reserve pool, based on the current reserve analysis. The projected annual cash inflows may include estimated earnings from investment of principal.

For a **Structural Integrity Reserve Study**, as of May 26, 2022, Florida Statutes mandated that the annual reserve amount must be calculated so that it achieves the estimated replacement cost or deferred maintenance expense of each common area being visually inspected by the end of the estimated remaining useful life of each common area. This method can only be achieved utilizing the *Component Funding Method*.

RESERVE BUDGET CONCLUSION

Based on the *Component Funding Method Analysis*, the reserves analyzed in this report suggest to provide full funding in year 2023, the cost would be \$9,372,231.97; the average remaining life annual contribution for year 2023 should be \$385,056.64.

NOTE: Due to the age of the building and the large number of items scheduled for replacement in the following 10 years, the proposed reserve study will not provide optimum results during later years. The Association is strongly encouraged to perform a reserve study every 5 years to maximize the funds and minimize yearly contributions.

EXECUTIVE SUMMARY

Property Data:

Property Name:	Pablo Jose Valdes Florida Irrevocable Trust (PJV-IT)
Property Address:	10950 NW 82 St. Doral, FL 33178
Report Date:	May 11 th , 2023
Property Type:	Multi-Family Condominium
Budget Year Begins:	01/01/2023
Budget Year Ends:	12/31/2023

PROJECTED COMPONENT CATEGORIES AND PARAMETERS

Component Categories in Reserve Analysis:

1. ROOFING
2. STRUCTURAL
3. FIRE PROTECTION SYSTEMS
4. FIRE ALARM SYSTEM
5. PLUMBING SYSTEMS
6. ELECTRICAL SYSTEMS
7. EXTERIOR IMPROVEMENTS
8. PAINTING AND WATERPROOFING

Total current cost of all reserve components in reserve analysis:	\$	4,232,225.71
Total future cost of all reserve components in reserve analysis:	\$	9,372,231.97
Total number of components scheduled for replacement in the 2023 budget year:		0
Total cost of components scheduled for replacement in the 2023 budget year:	\$	0

ANALYSIS RESULTS – COMPONENT FUNDING ANALYSIS

Structural Integrity Reserve Fund Financial Condition: underfunded		0% funded
Recommended annual reserve funding contribution amount:	\$	385,056.64

COMPONENT ANALYSIS

COMPONENT SUMMARY

Component Funding Analysis (SIRS) - Pablo Jose Valdes Florida Irrevocable Trust



Component		Installing Date	Budget Date	Useful Life	Remaining Life	1/1/2023 Balance	Estimated Replacement Cost	Unfunded Balance	2023 Contribution
ROOFING									
1	Replacement of the Tile/TPO Roof	1/1/2022	1/1/2023	20	19	\$ -	\$ 589,637.34	\$ 589,637.34	\$ 31,033.54
	<i>Sub Total</i>					\$ -	\$ 589,637.34	\$ 589,637.34	\$ 31,033.54
STRUCTURAL SYSTEMS (LOAD BEARING WALLS OR OTHER PRIMARY STRUCTURAL MEMBERS, FLOOR, FOUNDATION)									
1	Structural Members	1/1/2022	1/1/2023	80	79	\$ -	\$ 703,372.47	\$ 703,372.47	\$ 8,903.45
	<i>Sub Total</i>					\$ -	\$ 703,372.47	\$ 703,372.47	\$ 8,903.45
FIRE PROTECTION SYSTEMS									
1	Fire Pump, Jockey Pump, FlowSwitch, and Valves	1/1/2022	1/1/2023	20	19	\$ -	\$ 125,593.16	\$ 125,593.16	\$ 6,610.17
2	Fire Backflow Preventer	1/1/2022	1/1/2023	40	39	\$ -	\$ 117,941.10	\$ 117,941.10	\$ 3,024.13
3	Fire Sprinkler Distribution Piping System and Splinkler Heads	1/1/2022	1/1/2023	40	39	\$ -	\$ 914,603.47	\$ 914,603.47	\$ 23,451.37
	<i>Sub Total</i>					\$ -	\$ 1,158,137.73	\$ 1,158,137.73	\$ 33,085.67
FIRE ALARM SYSTEM									
1	Fire Alarm System	1/1/2022	1/1/2023	15	14	\$ -	\$ 706,486.91	\$ 706,486.91	\$ 50,463.35
	<i>Sub Total</i>					\$ -	\$ 706,486.91	\$ 706,486.91	\$ 50,463.35
PLUMBING SYSTEMS									
1	Domestic Water Distribution System	1/1/2022	1/1/2023	50	49	\$ -	\$ 1,622,449.45	\$ 1,622,449.45	\$ 33,111.21
2	Domestic Water Pumps	1/1/2022	1/1/2023	15	14	\$ -	\$ 163,508.62	\$ 163,508.62	\$ 11,679.19
3	Condensate Drainage System.	1/1/2022	1/1/2023	30	29	\$ -	\$ 245,568.89	\$ 245,568.89	\$ 8,467.89
4	Sewer System	1/1/2022	1/1/2023	50	49	\$ -	\$ 487,365.25	\$ 487,365.25	\$ 9,946.23
5	Storm System (Roof Drains, Downspout, Deck Drains and Drainage Piping)	1/1/2022	1/1/2023	50	49	\$ -	\$ 1,022,682.36	\$ 1,022,682.36	\$ 20,871.07
6	Water Heaters, and Public Bathroom Fixtures	1/1/2022	1/1/2023	15	14	\$ -	\$ 14,129.74	\$ 14,129.74	\$ 1,009.27
7	Elevator Sump Pumps	1/1/2022	1/1/2023	15	14	\$ -	\$ 15,645.03	\$ 15,645.03	\$ 1,117.50
	<i>Sub Total</i>					\$ -	\$ 3,571,349.33	\$ 3,571,349.33	\$ 86,202.36
ELECTRICAL SYSTEMS									
1	Circuit Breakers and Disconnect Switches	1/1/2022	1/1/2023	40	39	\$ -	\$ 172,891.92	\$ 172,891.92	\$ 4,433.13
2	Electrical Panels and Switchboards	1/1/2022	1/1/2023	40	39	\$ -	\$ 115,261.28	\$ 115,261.28	\$ 2,955.42
3	Emergency Generator	1/1/2022	1/1/2023	25	24	\$ -	\$ 128,419.54	\$ 128,419.54	\$ 5,350.81
4	Lighting	1/1/2022	1/1/2023	10	9	\$ -	\$ 249,772.59	\$ 249,772.59	\$ 27,752.51
5	Meter Centers	1/1/2022	1/1/2023	40	39	\$ -	\$ 89,065.53	\$ 89,065.53	\$ 2,283.73
6	Automatic Transfer Switches	1/1/2022	1/1/2023	30	29	\$ -	\$ 18,417.67	\$ 18,417.67	\$ 635.09
7	Low Voltage Systems	1/1/2022	1/1/2023	15	14	\$ -	\$ 105,973.04	\$ 105,973.04	\$ 7,569.50
8	Misc. Electrical	1/1/2022	1/1/2023	40	39	\$ -	\$ 102,163.40	\$ 102,163.40	\$ 2,619.57
	<i>Sub Total</i>					\$ -	\$ 981,964.97	\$ 981,964.97	\$ 53,599.77
EXTERIOR IMPROVEMENTS									
1	Exterior Window and Glazing	1/1/2022	1/1/2023	30	29	\$ -	\$ 401,095.85	\$ 401,095.85	\$ 13,830.89
2	Railing System	1/1/2022	1/1/2023	20	19	\$ -	\$ 312,935.77	\$ 312,935.77	\$ 16,470.30
	<i>Sub Total</i>					\$ -	\$ 714,031.62	\$ 714,031.62	\$ 30,301.20
PAINTING AND WATERPROOFING									
1	Exterior Stucco	1/1/2022	1/1/2023	7	6	\$ -	\$ 190,346.05	\$ 190,346.05	\$ 31,724.34
2	Exterior Painting/ Caulking/ Balcony Railling	1/1/2022	1/1/2023	7	6	\$ -	\$ 154,885.75	\$ 154,885.75	\$ 25,814.29
3	Waterproofing Blaconies	1/1/2022	1/1/2023	30	29	\$ -	\$ 245,568.89	\$ 245,568.89	\$ 8,467.89
4	Waterproofing Pool/ Pool Deck/ Planters	1/1/2022	1/1/2023	15	14	\$ -	\$ 356,450.91	\$ 356,450.91	\$ 25,460.78
	<i>Sub Total</i>					\$ -	\$ 947,251.59	\$ 947,251.59	\$ 91,467.31
TOTAL									
						\$ -	\$ 9,372,231.97	\$ 9,372,231.97	\$ 385,056.64

ANALYSIS DEFINITION REPORT

Property Data:

Property Name: Pablo Jose Valdes Florida Irrevocable Trust (PJV-IT)
Address: 10950 NW 82 St.
City: Doral
State: FL
ZIP Code: 33178
Project Date: January 1st, 2023
Analysis Date: May 11th, 2023
Number of Phases: 1

Component Categories in Reserve Analysis:

Rate of Inflation: 3.0%
Rate of Return on Investment: 2.5%
Beginning Funds: \$ 00.00
Loan Special Assessment: N/A
Deferred Expenditures: N/A
Contingency: 0%
Contingency Time: 0

Annual Contribution Factors:

2023: 3%	2033: 3%	2043: 3%	2053: 3%
2024: 3%	2034: 3%	2044: 3%	2054: 3%
2025: 3%	2035: 3%	2045: 3%	2055: 3%
2026: 3%	2036: 3%	2046: 3%	2056: 3%
2027: 3%	2037: 3%	2047: 3%	2057: 3%
2028: 3%	2038: 3%	2048: 3%	2058: 3%
2029: 3%	2039: 3%	2049: 3%	2059: 3%
2030: 3%	2040: 3%	2050: 3%	2060: 3%
2031: 3%	2041: 3%	2051: 3%	2061: 3%
2032: 3%	2042: 3%	2052: 3%	2062: 3%

Additional Information:

The analysis date is May 11th, 2023, and the reporting period utilized is 40 years to include all reserve components. However, the actual start of the contribution calculation is January 1st, 2023. Based on our analysis of annual economic conditions, we estimate that construction costs will increase at approximately 3.0% per year, and the rate of return on funds invested will remain at approximately 2.5% (assuming safe investment in CDs or Money Market Accounts). No loan, special assessments or deferred expenditures were included in this analysis. The above reserve contribution factors of 3% are designed to help offset future construction cost increases and/or inflationary factors.

IV. REFERENCES

5. REFERENCES

THE 2006 FLORIDA STATUTES TITLE XL – REAL AND PERSONAL PROPERTY

CHAPTER 718 – CONDOMINIUMS

718.111 The association.

(1) CORPORATE ENTITY. —

(a) The operation of the condominium shall be by the association, which must be a Florida corporation for profit or a Florida corporation not for profit. However, any association which was in existence on January 1, 1977, need not be incorporated. The owners of units shall be shareholders or members of the association. The officers and directors of the association have a fiduciary relationship to the unit owners. It is the intent of the Legislature that nothing in this paragraph shall be construed as providing for or removing a requirement of a fiduciary relationship between any manager employed by the association and the unit owners. An officer, director, or manager may not solicit, offer to accept, or accept any thing or service of value or kickback for which consideration has not been provided for his or her own benefit or that of his or her immediate family, from any person providing or proposing to provide goods or services to the association. Any such officer, director, or manager who knowingly so solicits, offers to accept, or accepts any thing or service of value or kickback is subject to a civil penalty pursuant to s. 718.501(1)(d) and, if applicable, a criminal penalty as provided in paragraph (d). However, this paragraph does not prohibit an officer, director, or manager from accepting services or items received in connection with trade fairs or education programs. An association may operate more than one condominium.

(b) A director of the association who is present at a meeting of its board at which action on any corporate matter is taken shall be presumed to have assented to the action taken unless he or she votes against such action or abstains from voting. A director of the association who abstains from voting on any action taken on any corporate matter shall be presumed to have taken no position with regard to the action. Directors may not vote by proxy or by secret ballot at board meetings, except that officers may be elected by secret ballot. A vote or abstention for each member present shall be recorded in the minutes.

(c) A unit owner does not have any authority to act for the association by reason of being a unit owner.

(d) As required by s. 617.0830, an officer, director, or agent shall discharge his or her duties in good faith, with the care an ordinarily prudent person in a like position would exercise under similar circumstances, and in a manner he or she reasonably believes to be in the interests of the association. An officer, director, or agent shall be liable for monetary damages as provided in s. 617.0834 if such officer, director, or agent breached or failed to perform his or her duties and the breach of, or failure to perform, his or her duties constitutes a violation of criminal law as provided in s. 617.0834; constitutes a transaction from which the officer or director derived an improper personal benefit, either directly or indirectly; or constitutes recklessness or an act or omission that was in bad faith, with malicious purpose, or in a manner exhibiting wanton and willful disregard of human rights, safety, or property. Forgery of a ballot envelope or voting certificate used in a condominium association election is punishable as provided in s. 831.01, the theft or embezzlement of funds of a condominium association is punishable as provided in s. 812.014, and the destruction of or the refusal to allow inspection or copying of an official record of a condominium association that is accessible to unit owners within the time periods required by general law in furtherance of any crime is punishable as tampering with physical evidence as provided in s. 918.13 or as obstruction of justice as provided in chapter 843. An officer or director charged by information or indictment with a crime referenced in this paragraph must be removed from office, and the vacancy shall be filled as provided in s. 718.112(2)(d)2. until the end of the officer's or director's period of suspension or the end of his or her term of office, whichever occurs first. If a criminal charge is pending against

the officer or director, he or she may not be appointed or elected to a position as an officer or a director of any association and may not have access to the official records of any association, except pursuant to a court order. However, if the charges are resolved without a finding of guilt, the officer or director must be reinstated for the remainder of his or her term of office, if any.

718.112 Bylaws.

(2) REQUIRED PROVISIONS.--The bylaws shall provide for the following and, if they do not do so, shall be deemed to include the following:

(f) *Annual budget.*--

1. The proposed annual budget of common expenses shall be detailed and shall show the amounts budgeted by accounts and expense classifications, including, if applicable, but not limited to, those expenses listed in s. 718.504(21). A multi-condominium association shall adopt a separate budget of common expenses for each condominium the association operates and shall adopt a separate budget of common expenses for the association. In addition, if the association maintains limited common elements with the cost to be shared only by those entitled to use the limited common elements as provided for in s. 718.113(1), the budget or a schedule attached thereto shall show amounts budgeted therefor. If, after turnover of control of the association to the unit owners, any of the expenses listed in s. 718.504(21) are not applicable, they need not be listed.

2. In addition to annual operating expenses, the budget shall include reserve accounts for capital expenditures and deferred maintenance. These accounts shall include, but are not limited to, roof replacement, building painting, and pavement resurfacing, regardless of the amount of deferred maintenance expense or replacement cost, and for any other item for which the deferred maintenance expense or replacement cost exceeds \$10,000. The amount to be reserved shall be computed by means of a formula which is based upon estimated remaining useful life and estimated replacement cost or deferred maintenance expense of each reserve item. The association may adjust replacement reserve assessments annually to take into account any changes in estimates or extension of the useful life of a reserve item caused by deferred maintenance. This subsection does not apply to an adopted budget in which the members of an association have determined, by a majority vote at a duly called meeting of the association, to provide no reserves or less reserves than required by this subsection. However, prior to turnover of control of an association by a developer to unit owners other than a developer pursuant to s. 718.301, the developer may vote to waive the reserves or reduce the funding of reserves for the first 2 fiscal years of the association's operation, beginning with the fiscal year in which the initial declaration is recorded, after which time reserves may be waived or reduced only upon the vote of a majority of all non-developer voting interests voting in person or by limited proxy at a duly called meeting of the association. If a meeting of the unit owners has been called to determine whether to waive or reduce the funding of reserves, and no such result is achieved or a quorum is not attained, the reserves as included in the

budget shall go into effect. After the turnover, the developer may vote its voting interest to waive or reduce the funding of reserves.

3. Reserve funds and any interest accruing thereon shall remain in the reserve account or accounts, and shall be used only for authorized reserve expenditures unless their use for other purposes is approved in advance by a majority vote at a duly called meeting of the association. Prior to turnover of control of an association by a developer to unit owners other than the developer pursuant to s. 718.301, the developer-controlled association shall not vote to use reserves for purposes other than that for which they were intended without the approval of a majority of all non-developer voting interests, voting in person or by limited proxy at a duly called meeting of the association.

4. The only voting interests which are eligible to vote on questions that involve waiving or reducing the funding of reserves, or using existing reserve funds for purposes other than purposes for which the reserves were intended, are the voting interests of the units subject to assessment to fund the reserves in question.

FLORIDA ADMINISTRATIVE COD

**61B-22: FINANCIAL AND ACCOUNTING REQUIREMENTS; BUDGETS,
RESERVES, AND GURANTEE**

61B-22.001 DEFINITIONS

For the purposes of this chapter the following definitions shall apply:

(1) "Accounting records" include all of the books and records identified in Section 718.111(12)(a)11., Florida Statutes, and any other records that identify, measure, record, or communicate financial information whether the records are maintained electronically or otherwise, including, all payroll and personnel records of the association, all invoices for purchases made by the association, and all invoices for services provided to the association

(2) "Capital expenditure" means any expenditure of funds for

(a) The purchase of an asset whose useful life is greater than one year in length

(b) The replacement of an asset whose useful life is greater than one year in length; o

(c) The addition to an asset that extends the useful life of the previously existing asset for a period greater than one year in length

(3) "Deferred maintenance" means any maintenance or repair that

(a) Will be performed less frequently than yearly; an

(b) Will result in maintaining the useful life of an asset

(4) "Funds" means money and negotiable instruments including, for example, cash, checks, notes, and securities

(5) "Reserves" means any funds, other than operating funds, that are restricted for deferred maintenance and capital expenditures, including the items required by Section 718.112(2)(f)2., Florida Statutes, and any other funds restricted as to use by the condominium documents or the condominium association. Funds that are not restricted as to use by Section 718.112(2)(f), Florida Statutes, the condominium documents or by the association shall not be considered reserves within the meaning of this rule

(6) "Structural integrity reserve study" means a study of the reserve funds required for future major repairs and replacement of the common areas based on a visual inspection of the common areas.

(7) "Turnover" means transfer of association control from developers to non-developer unit owners pursuant to Section 718.301, Florida Statutes

Specific Authority 718.501(1)(f) FS. Law Implemented 718.111(12), 718.112(2)(f), 718.301, 718.501 FS. History—New 7-11-93, Formerly 7D-22.001, Amended 12-20-95, 12-23-02.

61B-22.003 Budgets

(1) Required elements for estimated operating budgets. The budget for each association shall

(a) State the estimated common expenses or expenditures on at least an annual basis

(b) Disclose the beginning and ending dates of the period covered by the budget

(c) Show the total assessment for each unit type according to proportion of ownership on a monthly basis, or for any other period for which assessments will be due

(d) Include all estimated common expenses or expenditures of the association including the categories set forth in Section 718.504(21)(c), Florida Statutes. Reserves for capital expenditures and deferred maintenance required by Section 718.112(2)(f), Florida Statutes, must be included in the proposed annual budget and shall not be waived or reduced prior to the mailing to unit owners of a proposed annual budget. If the estimated common expense for any category set forth in the statute is not applicable, the category shall be listed followed by an indication that the expense is not applicable

(e) Unless the association maintains a pooled account for reserves required by Section 718.112(2)(f)2., Florida Statutes, the association shall include a schedule stating each reserve account for capital expenditures and deferred maintenance as a separate line item with the following minimum disclosures

1. The total estimated useful life of the asset

2. The estimated remaining useful life of the asset

3. The estimated replacement cost or deferred maintenance expense of the asset

4. The estimated fund balance as of the beginning of the period for which the budget will be in effect; and

5. The developer's total funding obligation, when all units are sold, for each converter reserve account established pursuant to Section 718.618, Florida Statutes, if applicable

(f) If the association maintains a pooled account for reserves required by Section 718.112(2)(f)2., Florida Statutes, the association shall include a separate schedule of any pooled reserves with the following minimum disclosures

1. The total estimated useful life of each asset within the pooled analysis
2. The estimated remaining useful life of each asset within the pooled analysis
3. The estimated replacement cost or deferred maintenance expense of each asset within the pooled analysis; an
4. The estimated fund balance of the pooled reserve account as of the beginning of the period for which the budget will be in effect

(g) Include a separate schedule of any other reserve funds to be restricted by the association as a separate line item with the following minimum disclosures

1. The intended use of the restricted funds; an
2. The estimated fund balance of the item as of the beginning of the period for which the budget will be in effect

(2) Unrestricted expense categories. Expense categories that are not restricted as to use shall be stated in the operating portion of the budget rather than the reserve portion of the budget

(3) Record keeping requirements for budgets. The minutes of the association shall reflect the adoption of the budget and a copy of the proposed and adopted budgets shall be maintained as part of the financial records of the association

(4) Multicondominium associations. Multicondominium associations shall comply with the following requirements

(a) Provide a separate budget for each condominium operated by the association as well as for the association. Each such budget shall disclose

1. Estimated expenses specific to a condominium such as the maintenance, deferred maintenance or replacement of the common elements of the condominium which shall be provided for in the budget of the specific condominium

2. Estimated expenses of the association that are not specific to a condominium such as the maintenance, deferred maintenance or replacement of the property serving more than one condominium which shall be provided for in the association budget; and

3. Multicondominium associations created after June 30, 2000, or that have created separate ownership interests of the common surplus of the association for each unit as provided in Sections 718.104(4)(h) and 718.110(12), Florida Statutes, shall include each unit's share of the estimated expenses of the association, referred to in subsection (2) of this rule, which shall be shown on the individual condominium budgets. Multicondominium associations created prior to July 1, 2000, that have not created separate ownership interests of the common surplus of the association for each unit as provided in Sections 718.104(4)(h) and 718.110(12), Florida Statutes, shall include each condominium's share of the estimated expenses of the association, referred to in subsection (2) of this rule, which shall be shown on the individual condominium budgets

4. The budgets of multicondominium associations created after June 30, 2000 or of multicondominium associations that have created separate ownership interests of the common surplus of the association for each unit as provided in Sections 718.104(4)(h) and 718.110(12), Florida Statutes, shall show the estimated revenues of each condominium and of the association

(b) Associations that operate separate condominiums in a consolidated fashion pursuant to Section 718.111(6), Florida Statutes, may utilize a single consolidated budget

(5) Limited common elements. If an association maintains limited common elements at the expense of only those unit owners entitled to use the limited common elements pursuant to Section 718.113(1), Florida Statutes, the budget shall include a separate schedule, or schedules, conforming to the requirements for budgets as stated in this rule, of all estimated expenses specific to each of the limited common elements, including any applicable reserves for deferred maintenance and capital expenditures. The schedule or schedules may group the maintenance expense of any limited common elements for which the declaration provides that the maintenance expense is to be shared by a group of unit owners

(6) Phase condominium budgets. By operation of law, the annual budget of a phase condominium created pursuant to Section 718.403, Florida Statutes, shall automatically be adjusted to incorporate the change in proportionate ownership of the common elements by the purchasers and to incorporate any other changes related to the addition of phases in accordance with the declaration of condominium. The adjusted annual budget shall be effective on the date that the amendment to the declaration adding a phase to a phase condominium is recorded in the official records of the county in which the condominium is located. Notwithstanding the requirements of subsection (7) of this rule, the association shall not be required to follow the provisions of Section 718.112(2)(c), Florida Statutes, unless, as a result of the budget adjustment, the assessment per unit has changed

(7) Budget assessment amendments. The association may amend a previously approved annual budget. In order to do so the board of administration shall follow the provisions of Section 718.112(2)(e), Florida Statutes. For example, the board shall mail a meeting notice and copies of the proposed amended annual budget to the unit owners not less than 14 days prior to the meeting at which the budget amendment will be considered

Specific Authority 718.501(1)(f) FS. Law Implemented 718.111(6), 718.112(2)(e), (f), 718.113, 718.501, 718.618 FS. History—New 7-11-93, Formerly 7D-22.003, Amended 12-20-95, 12-18-01, 12-23-02.

61B-22.005 Reserves

(1) Reserves required by statute. Reserves required by Section 718.112(2)(f), Florida Statutes, for capital expenditures and deferred maintenance including roofing, painting, paving, and any other item for which the deferred maintenance expense or replacement cost exceeds \$10,000 shall be included in the budget. For the purpose of determining whether the deferred maintenance expense or replacement cost of an item exceeds \$10,000, the association may consider each asset of the association separately. Alternatively, the association may group similar or related assets together. For example, an association responsible for the maintenance of two swimming pools, each of which will separately require \$6,000 of total deferred maintenance, may establish a pool reserve, but is not required to do so

(2) Commingling operating and reserve funds. Associations that collect operating and reserve assessments as a single payment shall not be considered to have commingled the funds provided the reserve portion of the payment is transferred to a separate reserve account, or accounts, within 30 calendar days from the date such funds were deposited

(3) Calculating reserves required by statute. Reserves for deferred maintenance and capital expenditures required by Section 718.112(2)(f), Florida Statutes, shall be calculated using a formula that will provide funds equal to the total estimated deferred maintenance expense or total estimated replacement cost for an asset or group of assets over the remaining useful life of the asset or group of assets. Funding formulas for reserves required by Section 718.112(2)(f), Florida Statutes, shall be based on either a separate analysis of each of the required assets or a pooled analysis of two or more of the required assets.

(a) If the association maintains separate reserve accounts for each of the required assets, the amount of the current year contribution to each reserve account shall be the sum of the following two calculations

1. The total amount necessary, if any, to bring a negative account balance to zero; and
2. The total estimated deferred maintenance expense or estimated replacement cost of the reserve asset less the estimated balance of the reserve account as of the beginning of the period for which the budget will be in effect. The remainder, if greater than zero, shall be divided by the estimated remaining useful life of the asset. The formula may be adjusted each year for changes in estimates and deferred maintenance performed during the year and may consider factors such as inflation and earnings on invested funds

(b) If the association maintains a pooled account of two or more of the required reserve

assets, the amount of the contribution to the pooled reserve account as disclosed on the proposed budget shall be not less than that required to ensure that the balance on hand at the beginning of the period for which the budget will go into effect plus the projected annual cash inflows over the remaining estimated useful lives of all of the assets that make up the reserve pool are equal to or greater than the projected annual cash outflows over the remaining estimated useful lives of all of the assets that make up the reserve pool, based on the current reserve analysis. The projected annual cash inflows may include estimated earnings from investment of principal. The reserve funding formula shall not include any type of balloon payments.

(4) Estimating reserves that are not required by statute. Reserves that are not required by Section 718.112(2)(f), Florida Statutes, are not required to be based on any specific formula

(5) Estimating non-converter reserves when the developer is funding converter reserves. For the purpose of estimating non-converter reserves, the estimated fund balance of the non-converter reserve account related to any asset for which the developer has established converter reserves pursuant to Section 718.618, Florida Statutes, shall be the sum of

(a) The developer's total funding obligation, when all units are sold, for the converter reserve account pursuant to Section 718.618, Florida Statutes; an

(b) The estimated fund balance of the non-converter reserve account, excluding the developer's converter obligation, as of the beginning of the period for which the budget will be in effect

(6) Timely funding. Reserves included in the adopted budget are common expenses and must be fully funded unless properly waived or reduced. Reserves shall be funded in at least the same frequency that assessments are due from the unit owners (e.g., monthly or quarterly)

(7) Restrictions on use. In a multicondominium association, no vote to allow an association to use reserve funds for purposes other than that for which the funds were originally reserved shall be effective as to a particular condominium unless conducted at a meeting at which the same percentage of voting interests in that condominium that would otherwise be required for a quorum of the association is present in person or by proxy, and a majority of those present in person or by limited proxy, vote to use reserve funds for another purpose. Expenditure of unallocated interest income earned on reserve funds is restricted to any of the capital expenditures, deferred maintenance or other items for which reserve accounts have been established

(8) Annual vote required to waive reserves. Any vote to waive or reduce reserves for capital expenditures and deferred maintenance required by Section 718.112(2)(f)2., Florida

Statutes, shall be effective for only one annual budget. Additionally, in a multicondominium association, no waiver or reduction is effective as to a particular condominium unless conducted at a meeting at which the same percentage of voting interests in that condominium that would otherwise be required for a quorum of the association is present, in person or by proxy, and a majority of those present in person or by limited proxy vote to waive or reduce reserves. For multicondominium associations in which the developer is precluded from casting its votes to waive or reduce the funding of reserves, no waiver or reduction is effective as to a particular condominium unless conducted at a meeting at which the same percentage of non-developer voting interests in that condominium that would otherwise be required for a quorum of the association is present, in person or by proxy, and a majority of those present in person or by limited proxy vote to waive or reduce reserves

Specific Authority 718.501(1)(f) FS. Law Implemented 718.112(2)(f), 718.501, 718.618 FS. History–New 7-11-93, Formerly 7D-22.005, Amended 12-20-95, 1-19-97, 12-18-01, 12-23-02.

61B-22.006 Financial Reporting Requirements

(1) Basis of accounting. The financial statements required by Sections 718.111(13) and 718.301(4), Florida Statutes, shall be prepared on the accrual basis using fund accounting in accordance with generally accepted accounting principles. Reviewed financial statements shall be reviewed in accordance with standards for accounting and review services and audited financial statements shall be audited in accordance with generally accepted auditing standards. Reviews and audits of an association's financial statements shall be performed by an independent certified public accountant licensed by the Florida Board of Accountancy. As used in this rule the terms "generally accepted accounting principles," "standards for accounting and review services," and "generally accepted auditing standards" shall have the same meaning as set forth in Chapter 61H1-20, F.A.C

(2) Components. The financial statements required by Sections 718.111(13) and 718.301(4), Florida Statutes, shall at a minimum include the following components

- (a) Accountant's or Auditor's Report
- (b) Balance Sheet
- (c) Statement of Revenues and Expenses
- (d) Statement of Changes in Fund Balances
- (e) Statement of Cash Flows; an
- (f) Notes to financial statements

(3) Disclosure requirements. The financial statements required by Sections 718.111(13) and 718.301(4), Florida Statutes, shall contain the following disclosures within the financial statements, notes, or supplementary information

(a) The following reserve disclosures shall be made regardless of whether reserves have been waived for the fiscal period covered by the financial statements

1. The beginning balance in each reserve account as of the beginning of the fiscal period covered by the financial statements
2. The amount of assessments and other additions to each reserve account including authorized transfers from other reserve accounts
3. The amount expended or removed from each reserve account, including authorized transfers to other reserve accounts
4. The ending balance in each reserve account as of the end of the fiscal period covered by the financial statements
5. The manner by which reserve items were estimated, the date the estimates were last made, the association's policies for allocating reserve fund interest, and whether reserves have been waived during the period covered by the financial statements; an
6. If the developer has established converter reserves pursuant to Section 718.618(1), Florida Statutes, each converter reserve account shall be identified and include the disclosures required by this rule

(b) The method by which income and expenses were allocated to the unit owners

(c) The specific purpose or purposes of any special assessments to unit owners pursuant to Section 718.116(10), Florida Statutes, and the amount of each special assessment and the disposition of the funds collected

(d) The amount of revenues and expenses related to limited common elements shall be disclosed when the association maintains the limited common elements and the expense is apportioned to those unit owners entitled to the exclusive use of the limited common elements; an

(e) If a guarantee pursuant to Section 718.116(9), Florida Statutes, existed at any time during the fiscal year, the financial statements shall disclose the following

1. The period of time covered by the guarantee
2. The amount of common expenses incurred during the guarantee period
3. The amount of assessments charged to the non-developer unit owners during the guarantee period
4. The amount of non-assessment revenues earned by the association, with each non-assessment revenue generating activity disclosed separately, during the guarantee period
5. The amount of expenses incurred in the production of non-assessment revenues, with each non-assessment revenue generating activity disclosed separately, during the guarantee period
6. The amount of the developer's payments pursuant to the guarantee; and
7. Any financial obligation due to or from the developer resulting from the guarantee

(4) Multicondominium associations. Multicondominium associations may present the financial statements required by Sections 718.111(13) and 718.301(4), Florida Statutes, on a combined basis as long as the financial statements, notes, or supplementary information disclose the revenues, expenses, and changes in fund balance for each condominium, and the association, as applicable. The financial statements, notes, or supplementary information shall also disclose the revenues and expenses of the association that are not directly associated with specified condominiums, and the method used to allocate such expenses to the condominiums or units, as applicable. Additionally, the reserve disclosures required by this rule shall be presented separately for each condominium and for any association reserves not specifically identified with individual condominiums. The provisions of this rule shall apply to multicondominium financial reporting for fiscal periods ending on or after December 31, 2002. Earlier application of the provisions of this rule is permitted

(5) Developer assessments. All financial reporting required by Chapter 718, Florida Statutes, shall disclose the assessment revenues from the developer separately from that of the non-developer unit owners

(6) Financial reports required by Section 718.111(13)(b), Florida Statutes. The financial report required by Section 718.111(13)(b), Florida Statutes, shall meet the following requirements

- (a) If the association maintains limited common elements and the expense is apportioned to those units entitled to the exclusive use of the limited common elements the report shall contain the limited common element disclosures required by paragraph 61B-

22.006(3)(d), F.A.C

(b) The financial reports of multicondominium associations shall separately disclose the following items

1. The receipts and expenditures directly associated with specific condominiums; an
2. The receipts and expenditures of the association that are not directly associated with specific condominiums

(7) The minutes of the association shall reflect the number of votes cast by the membership to waive the requirement for audited, reviewed, or compiled financial statements and the type of financial reporting that the association will be preparing and disseminating to the membership

Specific Authority 718.111(13), 718.501(1)(f) FS. Law Implemented 718.111(12)(a)11., (13), 718.301(4) FS. History–New 7-11-93, Formerly 7D-22.006, Amended 12-20-95, 2-13-97, 12-18-01, 6-24-04.

6. TERMS AND DEFINITIONS

ACCRUED FUND BALANCE (AFB): Total Accrued Depreciation. An indicator against which Actual (or projected) Reserve balance can be compared. The Reserve balance that is in direct proportion to the fraction of life “used up” of the current Repair or Replacement cost. This number is calculated for each component, and then summed together for an association tool. Two formulae can be utilized, depending on the provider’s sensitivity to interest and inflation effects. Note: both yield identical results when interest and inflation are equivalent.

$$\text{AFB} = \text{Current Cost} \times \text{Effective Age/Useful Life, or}$$

$$\text{AFB} = (\text{Current Cost} \times \text{Effective Age/Useful Life}) + [(\text{Current Cost} \times \text{Effective Age/Useful Life}) / (1 + \text{Interest Rate}) ^ \text{Remaining Life}] - [(\text{Current Cost} \times \text{Effective Age/Useful Life}) / (1 + \text{Inflation Rate}) ^ \text{Remaining Life}]$$

CASH FLOW METHOD: A method of calculating Reserve Funding Plan where contributions to the Reserve fund are designed to offset the variable annual expenditures from the Reserve fund. Different Reserve Funding Plans are tested against the anticipated schedule of Reserve expenses until the desired Funding Goal is achieved. “Because we use the cash flow method, we compute individual line item contributions after the total contribution rate has been established.” See “Component Method”.

CAPITAL EXPENDITURES: A capital expenditure means any expenditure of funds for: (1) the purchase or replacement of an asset whose useful life is greater than one year, or (2) the addition to an asset that extends the useful life of the previously existing asset for a period greater than one year.

COMPONENT: The individual line items in the Reserve Study, developed or updated in the Physical Analysis. These elements form the building blocks for the Reserve Study. Components typically are:

- 1) Association responsibility,
- 2) With limited Useful Life expectancies,
- 3) Predictable Remaining Useful Life expectancies, and
- 4) Above a minimum threshold cost, and
- 5) As required by local codes. “We included 5 components in our reserve Study.”

COMPONENT ASSESSMENT AND VALUATION: The task of estimating Useful Life, Remaining Useful Life, and Repair or Replacement Costs for the Reserve components. This task is accomplished either with or without an on-site inspection, based on Level or Service selected by the client.

COMPONENT FULL FUNDING: When the actual (or projected) cumulative Reserve balance for all components is equal to the Fully Funded Balance.

COMPONENT INVENTORY: The task of selecting and quantifying Reserve Components. This task is accomplished through an on-site inspection, review of association design and organizational documents, and a review of established association precedents, and discussion with appropriate association representative(s).

COMPONENT METHOD: A method of developing a Reserve Funding Plan where the total contribution is based on the sum of contributions for individual components. "Since we calculate a Reserve contribution rate for each component and then sum them all together, we are using the component method to calculate our Reserve contributions." See "Cash Flow Method".

CONDITION ASSESSMENT: The task of evaluating the current condition of the component based on observed and reported characteristics.

CURRENT REPLACEMENT COST: See "Replacement Cost".

DEFERRED MAINTENANCE: Deferred maintenance means any maintenance or repair that:

- 1) Will be performed less frequently than yearly, and
- 2) Will result in maintaining the useful life of an asset.

DEFICIT: An actual (or projected) Reserve Balance less than the Fully Funded Balance. The opposite would be a Surplus.

EFFECTIVE AGE: The difference between Useful Life and Remaining Useful Life. Not always equivalent to chronological age, since some components age irregularly. Used primarily in computations.

FINANCIAL ANALYSIS: The portion of a Reserve Study where current status of the Reserves (measured as cash or Percent Funded) and a recommended Reserve contribution rate (Reserve Funding Plan) are derived, and the projected Reserve income and expense over time is presented. The Financial Analysis is one of the two parts of a Reserve Study.

FULLY FUNDED: When the budget is provided to the owners, it will show the amount of money that must be deposited that year for each reserve item to ensure that, when the time comes, sufficient funds will be available for deferred maintenance or a capital expenditure. (Definition published in "Budgets & Reserve Schedules Made Easy" training manual by the State of Florida Department of Business and Professional Regulations in January 1997).

FUND STATUS: The status of the reserve fund as compared to an established benchmark such as percent funding.

FUNDING PLAN: An association's plan to provide income to a Reserve fund to offset anticipated expenditures from that fund.

FUNDING PRINCIPLES:

- Sufficient Funds When Required
- Stable Contribution Rate over the Years
- Evenly Distributed Contributions over the Years
- Fiscally Responsible

FUNDING GOALS: Independent of methodology utilized, the following represent the basic categories of Funding Plan goals:

- **Baseline Funding** – Establishing a Reserve funding goal of keeping the Reserve cash balance above zero.
- **Component Full Funding** – Setting a Reserve funding goal of attaining and maintaining cumulative Reserves at or near 100%.
- **Statutory Funding** – Establishing a Reserve funding goal of setting aside the specific minimum amount of Reserves of component required by local statutes.
- **Threshold Funding** – Establishing a Reserve funding goal of keeping the Reserve balance above a specified dollar or Percent Funded amount. Depending on the threshold, this may be more or less conservative than “Component Full Funding.”

LIFE AND VALUATION ESTIMATES: The task of estimating Useful Life, Remaining Useful Life, and Repair or Replacement Costs for the Reserve Components.

PERCENT FUNDED: The ratio, at a particular point of time (typically the beginning of the Fiscal Year), of the *actual* (or *projected*) Reserve Balance to the accrued *Fund Balance*, expressed as a percentage. “With \$76,000 in Reserves, and since our 100% Funded Balance is \$100,000, our association is 76% Funded”.

Note: Since funds can typically be allocated from one component to another with ease, this parameter has no real meaning on an individual Component basis. The purpose of this parameter is to identify the relative strength or weakness of the entire Reserve fund as of a particular point in time. The value of this parameter is in providing a more stable measure of Reserve Fund strength, since cash in Reserves may mean very different things to different associations.

PHYSICAL ANALYSIS: The portion of the Reserve Study where the Component Inventory, Condition Assessment, and Life and Valuation Estimate tasks are performed. This represents one of the two parts of the Reserve Study.

REMAINING USEFUL LIFE (RUL): Also referred to as “Remaining Life” (RL). The estimated time, in years, that a reserve component can be expected to *continue* to serve its intended function. Projects anticipated to occur in the initial year have “zero” Remaining Useful Life.

REPLACEMENT COST: The cost of replacing, repairing, or restoring a Reserve Component to its original functional condition. The Current Replacement Cost would be the cost to replace, repair, or restore the component during that particular year.

RESERVE BALANCE: Actual or projected funds as of a particular point in time that the association has identified for use to defray to the future repair or replacement of those major components which the association is obligated to maintain. Also known as Reserves, Reserve Accounts, Cash Reserves. Based on information provided and not audited

RESERVE PROVIDER: An individual that prepares Reserve Studies.

RESERVE STUDY: A budget planning tool which identifies the current status of the Reserve fund and a stable and equitable Funding Plan to offset the anticipated future major common area expenditures.” The Reserve Study consists of two parts: the Physical Analysis and the Financial Analysis. “Our budget and finance committee is soliciting proposals to update our Reserve Study for the next year’s budget.”

RESPONSIBLE CHARGE: A reserve specialist in responsible charge of a reserve study shall render regular and effective supervision to those individuals performing services which directly and materially affect the quality and competence rendered by the reserve specialist. A reserve specialist shall maintain such records as are reasonably necessary to establish that the reserve specialist exercised regular and effective supervision of a reserve duty of which he was in responsible charge. A reserve specialist engaged in any of the following acts or practices shall be deemed not to have rendered the regular and effective supervision required herein:

1. The regular and continuous absence from principal office premises from which professional services are rendered; expect for performance of field work or presence in a field office maintained exclusively for a specific project;
2. The failure to personally inspect or review the work of subordinates where necessary and appropriate;
3. The rendering of a limited, cursory or perfunctory review of plans or projects in lieu of an appropriate detailed review;
4. The failure to personally be available on a reasonable basis or with adequate advanced notice for consultation and inspection where circumstances require personal availability.

STRUCTURAL INTEGRITY RESERVE STUDY: A study of the reserve funds required for future major repairs and replacement items whose failure to replace or maintain such item negatively affects the structural integrity of said items, based on a visual inspection of those items.

SPECIAL ASSESSMENT: An assessment levied on the members of an association in addition to regular assessments. Special Assessments are often regulated by Governing Documents or local statutes. "Since we need a new roof and there wasn't enough money in the Reserve fund, we had to pass a special assessment."

SURPLUS: An actual (or projected) Reserve Balance greater than the Fully Funded Balances. See "Deficit".

USEFUL LIFE (UL): Total Useful Life or Depreciable Life. The estimated time, in years, that a reserve component can be expected to serve its intended function if properly constructed in its present application or installation

7. DISCLOSURES

At the time this structural integrity reserve study was conducted M2E has had no involvements with the Association, which could result in actual or perceived conflicts of interest.

Any on-site inspections performed as a part of this Structural Integrity Reserve Study are inclusive of all common areas within the community, and are visual inspections that are non-destructive in nature.

The completeness of this Structural Integrity Reserve Study is dependent upon the agreement that all relevant information has been provided to M2E. Any materials that have not been disclosed would cause a distortion of the Association's situation. Information provided by the official representative of the Association regarding financial, physical, quantity, or historical issues will be deemed reliable by M2E.

The reserve study will be a reflection of information provided to M2E and assembled for the Association's use, not for the purpose of performing an audit, quality/forensic analysis, or background checks of historical records.

All information provided to M2E regarding reserve projects will be considered reliable. On-site inspections should not be considered project audits or quality inspections.

8. SIGNATURES

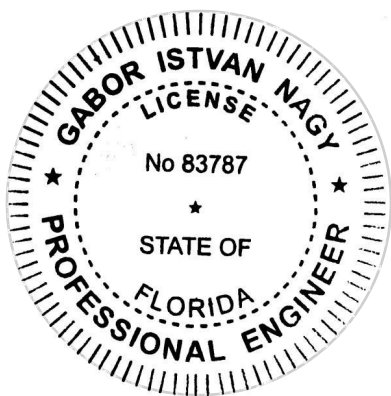
The **Physical Analysis and Financial Analysis** provided within this SIRS were performed by the following Reserve Specialist, who is credentialed under the Community Associations Institute.



A handwritten signature in black ink, appearing to read "Geo Kyria", written over a light gray grid background.

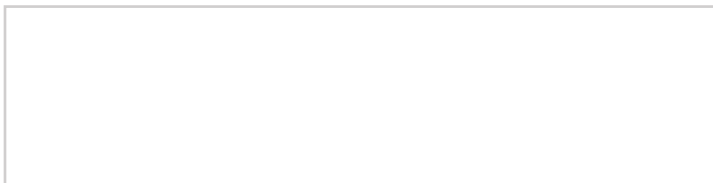
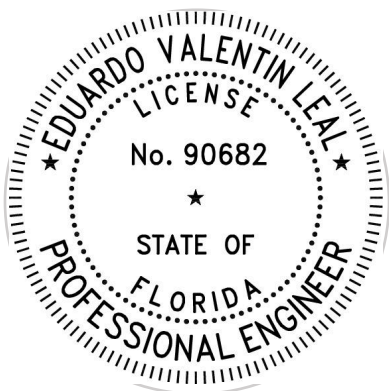
Georgette Kyriacou, RS, EBP
RS #00428

The visual inspection of the **Structural Elements** within this SIRS and the report preparation of the **Structural Elements** within this SIRS were performed by the following Professional Engineer, who is licensed under Chapter 471:



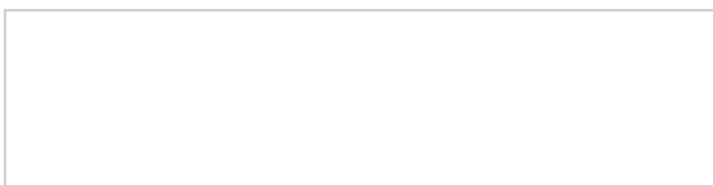
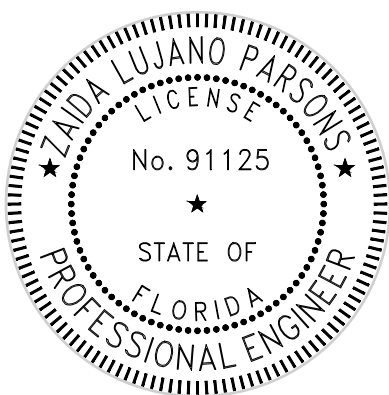
Gabor I. Nagy, PE
FL License No. 83787

The visual inspection of the **Electrical Elements** within this SIRS and the report preparation of the **Electrical Elements** within this SIRS were performed by the following Professional Engineer, who is licensed under Chapter 471:



Eduardo Leal, PE
FL License No. 90682

The visual inspection of the **Fireproofing, Fire Protection System, and Plumbing Elements** within this SIRS and the report preparation of the **Fireproofing, Fire Protection System, and Plumbing Elements** within this SIRS were performed by the following Professional Engineer, who is licensed under Chapter 471:



Zaida L. Parsons, PE
FL License No. 91125